

Contractor Scam Protection Guide V1 — Action Checklist

Generated May 11, 2026 | Keep this page for quick reference

YOUR PRIORITY ACTIONS

- ☐ ****Solicitation**** — They knock on doors after a storm, or they show up in your neighborhood with flyers. Legitimate contractors don't cold-call.
- ☐ ****Urgency**** — "I can start tomorrow, but I need a deposit today to hold the slot."
- ☐ ****Large upfront payment**** — They ask for 50% or more before any work begins.
- ☐ ****No paper trail**** — Verbal agreements, handwritten receipts, no contract.
- ☐ ****Cash only**** — Refuses check or credit card. Wants payment in person, often to a third party.
- ☐ ****License and insurance gaps**** — When you ask, they stall, deflect, or show a document that looks official but isn't.
- ☐ ****The vanish**** — Once they have the deposit, work either doesn't start or stops halfway. Getting your money back is nearly impossible without the right documentation.
- ☐ ****License number**** — Ask the contractor for their license number. Cross-reference it on the CSLB website.
- ☐ ****Business name match**** — The name on the license must match the name on the contract. Scammers use names similar to legitimate firms.
- ☐ ****License status**** — Active, expired, or suspended? An expired license means they're operating illegally.
- ☐ ****License classifications**** — Contractors are licensed for specific types of work. A general contractor can't do electrical work without the right classification.
- ☐ ****Bonding status**** — A contractor's bond is a financial guarantee. If they fail to complete work, the bond can compensate you. Verify the bond is current and sufficient for your project size.
- ☐ ****Certificate of Insurance (COI)**** — The contractor's insurer can email this directly to you. If they say they "have insurance" but can't produce a COI within 24 hours, that's a red flag.
- ☐ ****Policy limits**** — Minimum recommended: \$1M general liability. For large projects, get the policy reviewed.
- ☐ ****Your name as additionally insured**** — This is optional but recommended. It means you're covered if something goes wrong on your property.

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